Afaaq
MIDTERM EXAMINATION
Spring 2010
MKT501- Marketing Management (Session - 6)

Asslam O Alikum
Mkt 501 Spring 2010_MidTerm_Solved By Muhammad Afaaq n shani bhai with reference
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Best regard's
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If u like me than raise your hand with me
If not than raise ur standard
That's about me … !

Question No: 1 (Marks: 1) - Please choose one
The marketing plan is one of the most important outputs of:
► Business plan
► **Marketing process (Afaaq)**
► Production process
► Selling plan
Question No: 2 (Marks: 1) - Please choose one
A market leader firm can expand the total market through:
► Decreasing distribution of the product
► **Introducing the new usage of the product (Afaaq)**
► Eliminating some features of product
► Increasing cost
Question No: 3 (Marks: 1) - Please choose one
Which of the following are the products bought by individuals and organizations for further processing or for use in conducting a business?
► Specialty
► **Industrial (Afaaq)**
► Shopping
► Consumer
Question No: 4 (Marks: 1) - Please choose one
The high cost, low sales volume and losses are likely to occur at the:
► Decline stage
► **Introduction stage (Afaaq)**
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► Maturity stage
► Growth stage

Question No: 5 (Marks: 1) - Please choose one

Aggressive pricing is associated with which of the following stage of product life cycle?

► Introduction
► **Growth (Afaaq)**
► Maturity
► Decline

Question No: 6 (Marks: 1) - Please choose one

Which of the following is the leak-proof packaging that provides additional protection for the primary container?

► Primary packaging
► Secondary packaging
► **Transport packaging (Afaaq)**
► Decorative packaging

Question No: 7 (Marks: 1) - Please choose one

Packaging used for the ice creams is an example of which of the following?

► Decorative packaging
► Transport packaging
► Secondary packaging
► **Primary packaging (Afaaq)**

Question No: 8 (Marks: 1) - Please choose one

Which of the following marketing mix element generates revenue?

► Promotion
► **Price (Afaaq)**
► Place
► Product

Question No: 9 (Marks: 1) - Please choose one

The buyer at ABC Furniture Store is informed that if he/she will increase his/her recent order of fifteen mattress sets to twenty, she will receive a 14 percent price reduction. This offer is due to a recent overstock condition at the factory and will not be available in the future. What is the type of discount offered by ABC Furniture store?

► **Trade (Afaaq)**
► Seasonal
► Non-cumulative
► Promotional

Question No: 10 (Marks: 1) - Please choose one

BATA offered 10% discount on the sale of shoes at the end of winter season. What can be the purpose of giving such discount?

► Reward the customers
► **Move- out- of- date stock (Afaaq)**
► Encourage the salespeople
► To increase short term sales

Question No: 11 (Marks: 1) - Please choose one

Which of the following is also known as accumulation discounts?

► Trade discount

► Non-cumulative quantity discount

► Cumulative quantity discount (Afaaq)

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► Quantity discount

Question No: 12 (Marks: 1) - Please choose one

Many companies try to set a price that will maximize current profit. This strategy assumes that company has knowledge of its:

► Cost and production function

► Revenue and cost function (Afaaq)

► Demand and market function

► Demand and cost function

Question No: 13 (Marks: 1) - Please choose one

Companies that are involved in selling mass consumer goods and services are found in which of the following markets?

► Business markets

► Consumer markets (Afaaq)

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► Global markets

► Government markets

Question No: 14 (Marks: 1) - Please choose one

Which of the following 4Ps of marketing mix involves in decisions regarding channels coverage, assortments, locations, inventories or transports?

► Product

► Price

► Place (Afaaq)

► Promotion

Question No: 15 (Marks: 1) - Please choose one

While considering the place for a product which of the following is important for customer?

► Communication

► Convenience (Afaaq)

► Customer cost

► Customer solution

Question No: 16 (Marks: 1) - Please choose one

Which of the following is NOT a technique of measuring customer satisfaction and monitoring customer's complaint?

► Customer complaints database

► Web and telephone information hotlines

► Exit interviews

► Business analysis (Afaaq)

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Question No: 17 (Marks: 1) - Please choose one
A customer requirement about any product in which he/ she needs to avail core features in that product, is called:
► **Real need**
► **Stated need (Afaaq)**
p # 9 Stated need (an inexpensive Car)
► Unstated need
► Delighted need
Question No: 18 (Marks: 1) - Please choose one
Marketing starts with which of the following 4Ps?
► **Product (Afaaq)**
► Price
► Place
► Promotion
Question No: 19 (Marks: 1) - Please choose one
In which section of the marketing plan you would find the detailed information about the marketing environment, market trends, customers and competitors?
► **Situation analysis (Afaaq)**
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► Product/market background
► Marketing strategies
► Market analysis
Question No: 20 (Marks: 1) - Please choose one
Which of the following is NOT an option available for market leaders?
► **Reduce the product quality (Afaaq)**
► Improve customer service
► Protect the existing market share
► Expand the total market
Question No: 21 (Marks: 1) - Please choose one
Especially for which type of products the marketers should view packaging as a major strategic tool?
► Convenience products
► **Consumer shopping products (Afaaq)**
► Industrial products
► Specialty products
Question No: 22 (Marks: 1) - Please choose one
When a firm or store offers a price reduction to customers who buy during off-peak periods throughout the year, we say the firm is giving a (n) _____ discount.
► Functional
► **Seasonal (Afaaq)**
► Annual

► **Allowance**

Question No: 23 (Marks: 1) - Please choose one

The want satisfying power of a product or service is known as a/an:

► Desire

► Need

► **Utility (Afaaq)**

► Motive

Question No: 24 (Marks: 1) - Please choose one

In a television advertisement a group of teenagers is searching for some cold drinks to quench their thrust. In their searching they find a shop and they purchase the soft drinks. The selection of cold drink appeals to consumers' _____ for liquid and attempts to shape consumers' _____ for the advertised product.

► Needs, preferences

► Wants, needs

► **Needs, wants (Afaaq)**

► Want, preference

Question No: 25 (Marks: 1) - Please choose one

Which of the following is the part of implementation section of marketing plan?

► **Critical path analysis (Afaaq)**

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Critical Path Scheduling (CPS) must be made to determine what needs to be done and after what. Timing for each activity that needs to be done is worked out in CPS and proper planning is done and resources allocated already with clear responsibility.

► **Physical distribution**

► Competitor indexing

► Brand equity

Question No: 26 (Marks: 1) - Please choose one

These objectives are often the most suitable when firms operate in a market dominated by a major competitor and where their financial resources are limited.

► **Niche (Afaaq)**

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► Hold

► **Harvest**

► Diversification

Question No: 27 (Marks: 1) - Please choose one

Suppose **Nestle** wants to expand its food products line. The managers conducted surveys from customers to determine which food items would appeal to customers. Nestle is currently in which of the following phase of new product development?

► Idea generation

► Idea screening

► **Test marketing (Afaaq)**

► Business analysis

Question No: 28 (Marks: 1) - Please choose one

As a marketer you want to use lower than normal prices as an ingredient in your firm's marketing strategy. The technique you would use is:

► Price lining

► Zone pricing
► Relative pricing
► **Promotional pricing** (Afaaq)

Question No: 29 (Marks: 3)

Why price war is not beneficial for small companies?

Answer (Afaaq)

Price was is state of intense competition over the price of product
One competitor reduce the price other will lower its price to match and then a cycle of price reduction starts. Which can leads of selling of product below the cost?
Normally smaller companies cannot compete and shut down.

Question No: 30 (Marks: 3)

Explain how Marketers can prolong the lives of many products in the maturity or decline stages of the PLC? Also how can they move those products back to their growth stage?

Answer (Afaaq)

In the decline stage of the marketing product development cycle, owners reduce or stop marketing efforts and expenses. The plan is to lower the marketing efforts while your competitors discontinue theirs.
If you keep selling the product while your competitor stop selling, then you can get the market share which your competitor left.

Question No: 31 (Marks: 5)

Describe quantity discounts and its types.

Answer (Afaaq)

It is discount normally give on buying at large scale. Idea behind that is if we sell more we can achieve the economy of scale and that benefit we can share with our customers.
There are two types of Quantity Discounts
Cumulative:
This discount is based on the items purchased over the period of time. Like with in month we have to purchase this much quantity for the entailment of discount.
No cumulative
It is based on the single bulk order buying. Idea behind that discount is that we can save the shipping, billing, and sales personal expenses.

Question No: 32 (Marks: 5)

The first step in the product development process is generation of ideas. Discuss what are the internal and external sources of ideas? Why external sources are considered to be the more important than internal source?

Answer (Afaaq)

Every new product development starts with idea generation. Idea generation is process to produce large number of idea are produce. It should be ongoing process.
During idea one should not criticize the ideas of others.
Following are few ways for idea generation
Brainstorming session: In this whole team participate and everyone can give any idea there will b no criticism on any idea.
Idea can be obtained by basic research and SWOT analysis
Idea can be obtained from customers, Retailer's & Focus groups

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